Functional Requirements Specification

FRS

Finance Management System

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1. Introduction

1.1 Purpose

This document provides a detailed description of the functional behaviour of the Finance Management System. It expands the requirements defined in the SRS and specifies how the system shall operate for each functional module.

The system focuses on two primary areas:

- Invoice Management
- Salary and Payroll Management

2. Module 1- Dashboard

2.1 Description

The system shall provide a dashboard that presents a summarized view of key financial and operational data to authorized users.

2.2 Functional Requirements

Financial Summary

The system shall display a summary of financial data, including:

- total revenue for a selected period
- total number of invoices
- number of paid invoices
- number of pending invoices

Salary and Payroll Summary

The system shall provide payroll-related insights, including:

- total salary payout for a selected period
- number of employees paid
- number of pending salary payments (if applicable)

Activity Overview

The system shall display recent system activities, including:

- recently created invoices
- recently updated invoices
- recent payroll processing activities

Data Filtering

The system shall allow users to filter dashboard data based on:

- time period (e.g., monthly, yearly)

Navigation Support

The system shall provide access to major functional modules, including:

- invoice management
- salary management
- payroll processing

2.3 Processing

- The system shall retrieve data from the invoice and payroll records
- The system shall aggregate data for summary display
- The system shall update the dashboard data dynamically when the underlying data changes

2.4 Output

The system shall present summarized information for quick decision-making by users.

3. Module 2 - Invoice Management Module

3.1 Invoice Creation

Description

The system shall allow authorized users to create invoices.

Inputs

- Invoice number
- Client name
- Service type
- Issue date
- Due date
- Item list:
    - description
    - quantity
    - unit price
- Notes

Processing

- The system shall validate all required fields
- The system shall calculate line totals for each item
- The system shall calculate the total invoice amount

Business Rules

- At least one item must be included
- Quantity must be greater than zero
- Unit price must be zero or greater
- The due date must not be earlier than the issue date

Output

- The invoice is saved in the system
- The invoice is assigned a status of “Draft”

3.2 Invoice Update

Description

The system shall allow authorized users to update existing invoices.

Processing

- The system shall allow modification of all editable fields
- The system shall recalculate totals after any update

Output

- Updated invoice is saved

3.3 Invoice Retrieval

Description

The system shall allow users to retrieve and view invoice details.

Output

- Full invoice details, including item breakdown and total amount

3.4 Invoice Deletion

Description

The system shall allow authorized users to delete invoices.

Processing

- The system shall require confirmation before deletion

Output

- The invoice is removed from the system.

3.5 Invoice Calculation

Description
The system shall handle the invoice total calculation.

Functional Behavior
- Total = sum of (quantity × unit price) for all items
- Total updates dynamically when values change

3.6 Invoice Status Tracking

Description
The system shall track the invoice lifecycle.

Status Types
- Draft
- Sent
- Paid
- Overdue

Functional Behavior
- Status can be updated by the user
- Overdue can be identified based on the due date

3.7 Invoice Export

Description
The system shall allow invoice export.

Functional Behavior
- The user can download the invoice as a PDF
- The invoice should be formatted professionally

4. Module 3- Salary & Payroll Management Module

4.1 Employee Record Management

Description
The system shall manage employee records.

Fields
- Full Name
- Employee ID (auto-generated)
- Designation
- Department
- Date of Joining
- Contact Information
- Employment Status (Active / Inactive)

Functional Behavior
- Admin can add an employee
- Admin can update the employee
- Admin can deactivate the employee

4.2 Salary Structure Management

Description
The system shall define the salary structure per employee.

Fields
- Basic Salary
- Allowances (multiple entries)
- Deductions (multiple entries)

Functional Behavior
- Admin can define and update the salary structure
- Changes should not affect previous payroll records

Calculation
- Net Salary = Basic Salary + Total Allowances – Total Deductions

4.3 Salary Record Management

Description
The system shall manage salary records.

Functional Behavior
- Create salary record
- View salary records
- Update salary record

4.4 Monthly Payroll Processing

Description
The system shall process payroll monthly.

Functional Behavior
- Admin selects month and year
- The system calculates the salary for all active employees
- System generates payroll summary

Payroll Summary Includes
- Employee Name
- Gross Salary
- Deductions
- Net Salary

Finalization
- Admin reviews payroll
- Admin confirms payroll
- Finalized payroll cannot be edited

4.5 Payroll History

Description
The system shall store payroll history.

Functional Behavior
- View payroll by month/year
- View payroll by employee
- Records are read-only after finalization

4.6 Payslip Generation

Description
The system shall generate payslips.

Functional Behavior
- Each employee has a payslip per payroll run
- Payslip can be downloaded

5. User Roles & Permissions

5.1 Admin

- Full access
- Manage invoices
- Manage employees
- Process payroll

5.2 Finance Manager

- Manage invoices
- View payroll records
- Cannot modify employee salary structure

5.3 Employee (View Only)

- View own salary records
- View payslips
- No access to invoices

6. Technologies

6.1 Frontend Technologies

The user interface of the system shall be developed using one of the following frameworks:

- **React** or **Angular**

Additional frontend considerations:

- Feature-based architecture
- Responsive design implementation
- Form validation handling
- State management approach (e.g. Redux)

6.2 Backend

Suggested backend technologies:

- Dot net or SpringBoot
- RESTful API architecture

6.3 Database

The system may use a database for persistent data storage.

Suggested options:

- Relational Database (e.g., MySQL)

7. UI Functional Expectations

- Forms must include validation messages
- Tables must display lists clearly
- Actions:
  - Add
  - Edit
  - Delete
  - View
- Responsive design (desktop + tablet)
- Clean and professional UI

8. Error Handling

- All invalid inputs must show clear messages
- The system should prevent invalid submissions
- Empty states should display helpful messages

8. Acceptance Criteria

The system will be accepted if:

- The invoice module fully works (CRUD + calculation)
- Salary module works (structure + payroll + history)
- Validation is properly implemented
- UI is clean and responsive
- Code is structured and production-ready